SNDK - SanDisk Corp

Full investment research | Model assumptions and source evidence

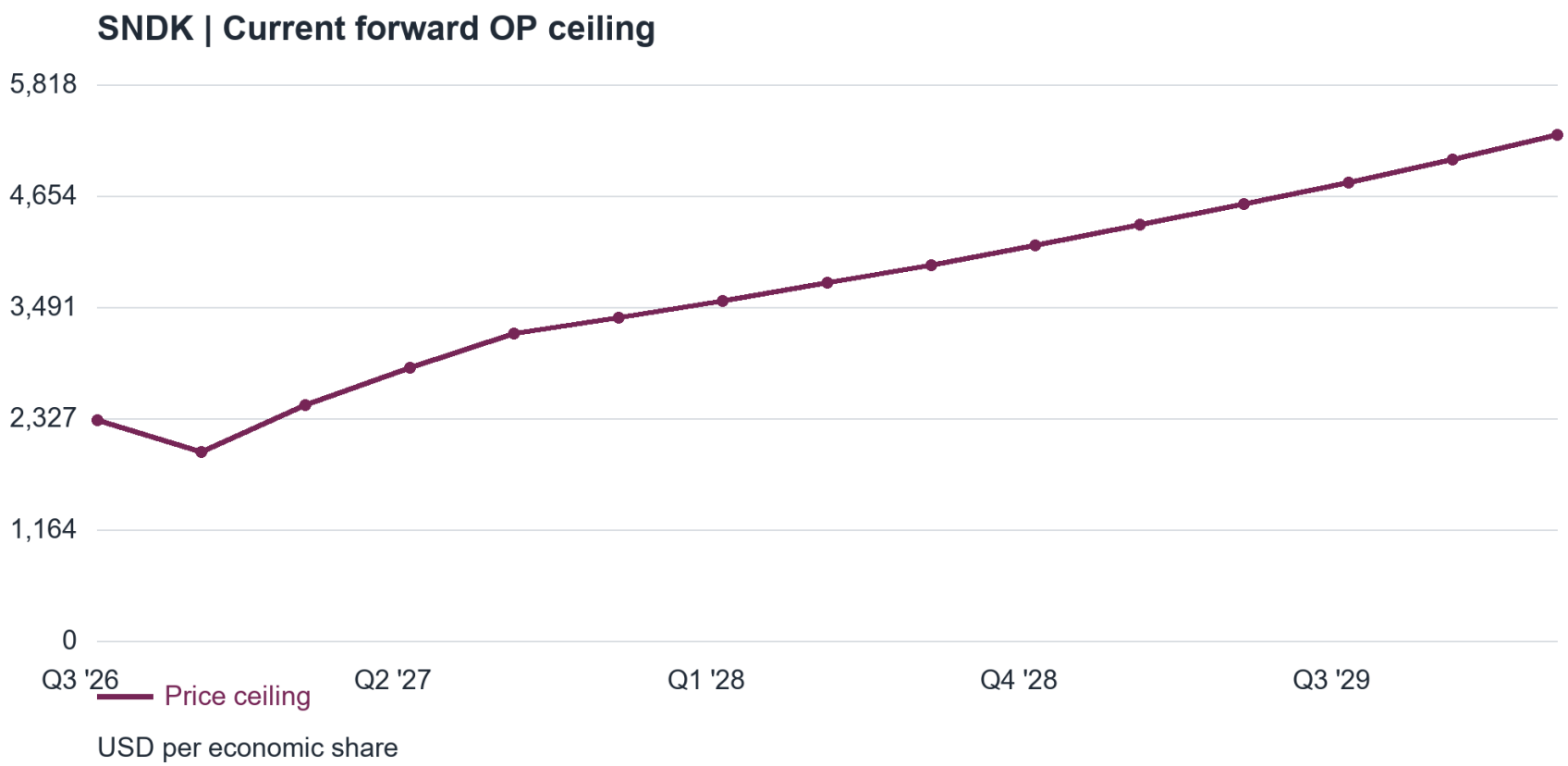
Current valuation and shareholder-return model - 28 October 2026

Q4 2027 price ceiling: USD 3,378.25 per economic share. The model uses 75,712.882687 millions USD of forward four-quarter non-GAAP operating profit, 6.75x, and 151.279920735 millions economic shares. Excel Base and analytical Base remain 87. Operating forecasts and their numerical probability states retain their existing selections.

Tom selected 50% of positive FCF for shareholder returns from Q4 2026: 20.5% of FCF as ordinary dividends and 29.5% as shareholder buybacks. Each current/future owner earnings multiple is reduced by 25%; its scheduled onset is preserved. Published Q3 2026 and earlier forecast values and rolling ceilings retain their original information vintage. The historical formula register and full before copies preserve the original calculation paths.

The selected price ceiling excludes dividend income. Gross dividends appear separately in the cash and per-share tables. Future shareholder-return amounts, execution prices, payment lags and cancellation rates are owner modeling assumptions. The company-specific source facts and the current cash conversion assumptions are set out below. Tom treats the shareholder-return rule as an interim assumption. Future issuer programmes and upcoming Sandisk/Samsung earnings trigger a fresh review of payout fractions, buyback authorizations, compensation purchases, timing and shares. Each new publication preserves the prior historical information vintage.

Valuation bridge	Q4 2027	
Previous published price ceiling	USD 5,010.41	
25% multiple reduction with previous share path	USD 3,757.81	
Selected FCF-funded share path and reduced multiple	USD 3,378.25	
Revised economic-share denominator		151.279920735 millions
Separate cumulative gross dividends paid Q4 2026 through Q4 2027	USD 64.530	



Current operating-profit ceiling, 28 October 2026.

Cash conversion and source anchors

Normalized CFO = non-GAAP OP - cash interest - normalized cash tax + D&A - increase in core working capital. FCF = normalized CFO - inclusive cash capital investment - separately identified lease principal. Customer financing deposits, financial-asset sales and new debt supply zero recurring FCF. All cash amounts use the units stated in the tables.

The latest retained detailed source is the fiscal year/quarter ended July 3, 2026. The issuer release reports USD4,762M total cash and zero debt. The CFO Investor Day presentation identifies customer NBM prepayments/deposits of about USD2.5B within the cash balance. I reserve the exact reported USD2,476M cumulative NBM receipts, giving USD2,286M initial free cash. This is a dated liquidity proxy. The Q3 current reconstruction rolls this amount forward with the existing operating model.

The fiscal Q4 adjusted-FCF bridge is CFO7,126 - own PP&E43 - net Flash Ventures funding 110 - NBM receipts 1,938 = USD5,035M. Future normalized CFO already excludes new NBM financing receipts. Its recurring FCF therefore receives zero second NBM deduction. The selected 5% capital intensity covers own investment and net JV funding together. The issuer's FY2028-30 framework gives mid-single-digit capital intensity and approximately 50% adjusted-FCF margin; the model independently derives FCF from its operating-profit and cash bridge.

D&A/revenue is 37/8,965; core NWC is(4,708+2,698-516-460)/8,965 times quarterly revenue. Normalized tax is 950/(7,104+8)=13.357705% of positive OP less cash interest. Cash interest isUSD5M quarterly; future interest income is zero. Operating lease costs are embedded in the operating forecast. Annual operating lease cash ofUSD41M and expenseUSD46M are disclosed in the 10-K; an additional financing-lease principal charge is zero in this bridge. The 5% inclusive investment assumption also absorbs modeled JV capital funding. Unexpected guarantee calls would require additional liquidity.

The starting 155M fully diluted economic-share proxy includes existing award inventory. The 10-K reports 6.6M outstanding RSU/PSU awards and 3.3M grants during FY2026. New future fully distributed grants use(67/8,965) times forecast revenue divided by the independent execution price. Future award withholding usesUSD630M/4=USD157.5M quarterly cash after FCF. This timing proxy receives zero legal retirement credit. The prior manually declining 155M-to 111M future share path is replaced by the funded cohort law.

Driver	Selected value	
Initial free cash		2,286.000000 millions
Initial debt		0.000000 millions
D&A / revenue		0.412716%
Gross inclusive capital investment / revenue		5.000000%
Core NWC / quarterly revenue		71.723369%
Normalized tax rate		13.357705%
Cash interest / quarter		5.000000
Separate lease principal / quarter		0.000000
Saved independent execution-price reference	USD 1,212.210000	
Initial economic shares		155.000000000 millions

Return cohorts, funding and share mechanics

For earning quarter q, dividend budget =0.205 x MAX(FCFq,0) and shareholder buyback budget =0.295 x MAX(FCFq,0). Buyback cash is 70% in q+1 and 30% in q+2. Independent execution price = saved reference x 1.10^quarter index, with Q3 2026 index 0 and Q4 index 1. Expected economic retirement in q+2 =90% x budget x unit factor x(70%/priceq+1 +30%/priceq+2). Economic shares end = shares opening + new future grant shares - expected retirements. The valuation denominator is the average of opening and ending economic shares.

Dividends earned in Q4 pay in q+2; other cohorts pay in q+1. Gross DPS uses payment-quarter ending distributed economic shares. Ending cash = opening cash + FCF - paid ordinary dividends - paid shareholder buybacks - source commitments - award withholding. The funding law grants zero new-debt cash to returns. Negative cash or nonpositive shares invalidate the affected scenario. Terminal unpaid cohorts remain recorded after the final forecast quarter.

Quarterly cash derivation

Quarter	Revenue	OP	Tax	D&A	NWC change	Cash capex	FCF
Q3 2026	11,867.778	9,616.390	1,283.861	48.980	2,081.970	593.389	5,701.150
Q4 2026	16,015.039	13,380.582	1,786.671	66.097	2,974.556	800.752	7,879.701
Q1 2027	20,585.945	17,481.827	2,334.503	84.962	3,278.407	1,029.297	10,919.581
Q2 2027	22,693.837	19,126.726	2,554.224	93.661	1,511.851	1,134.692	14,014.620
Q3 2027	21,974.120	18,023.108	2,406.806	90.691	-516.205	1,098.706	15,119.492
Q4 2027	22,228.754	18,110.542	2,418.485	91.742	182.632	1,111.438	14,484.729
Q1 2028	22,550.767	18,297.588	2,443.470	93.071	230.958	1,127.538	14,583.692
Q2 2028	22,789.436	18,454.202	2,464.390	94.056	171.181	1,139.472	14,768.214
Q3 2028	25,785.876	20,850.551	2,784.487	106.422	2,149.148	1,289.294	14,729.045
Q4 2028	26,082.345	21,078.793	2,814.975	107.646	212.637	1,304.117	16,849.709
Q1 2029	26,472.282	21,388.136	2,856.296	109.255	279.676	1,323.614	17,032.804
Q2 2029	26,770.615	21,622.015	2,887.537	110.487	213.974	1,338.531	17,287.459
Q3 2029	30,283.146	24,450.966	3,265.420	124.983	2,519.306	1,514.157	17,272.067
Q4 2029	30,651.683	24,740.366	3,304.077	126.504	264.327	1,532.584	19,760.881
Q1 2030	31,131.125	25,125.181	3,355.480	128.483	343.872	1,556.556	19,992.756
Q2 2030	31,490.536	25,413.776	3,394.029	129.967	257.782	1,574.527	20,312.404
Q3 2030	35,626.151	28,745.575	3,839.081	147.035	2,966.202	1,781.308	20,301.018
Q4 2030	36,104.225	29,122.914	3,889.485	149.008	342.891	1,805.211	23,229.334

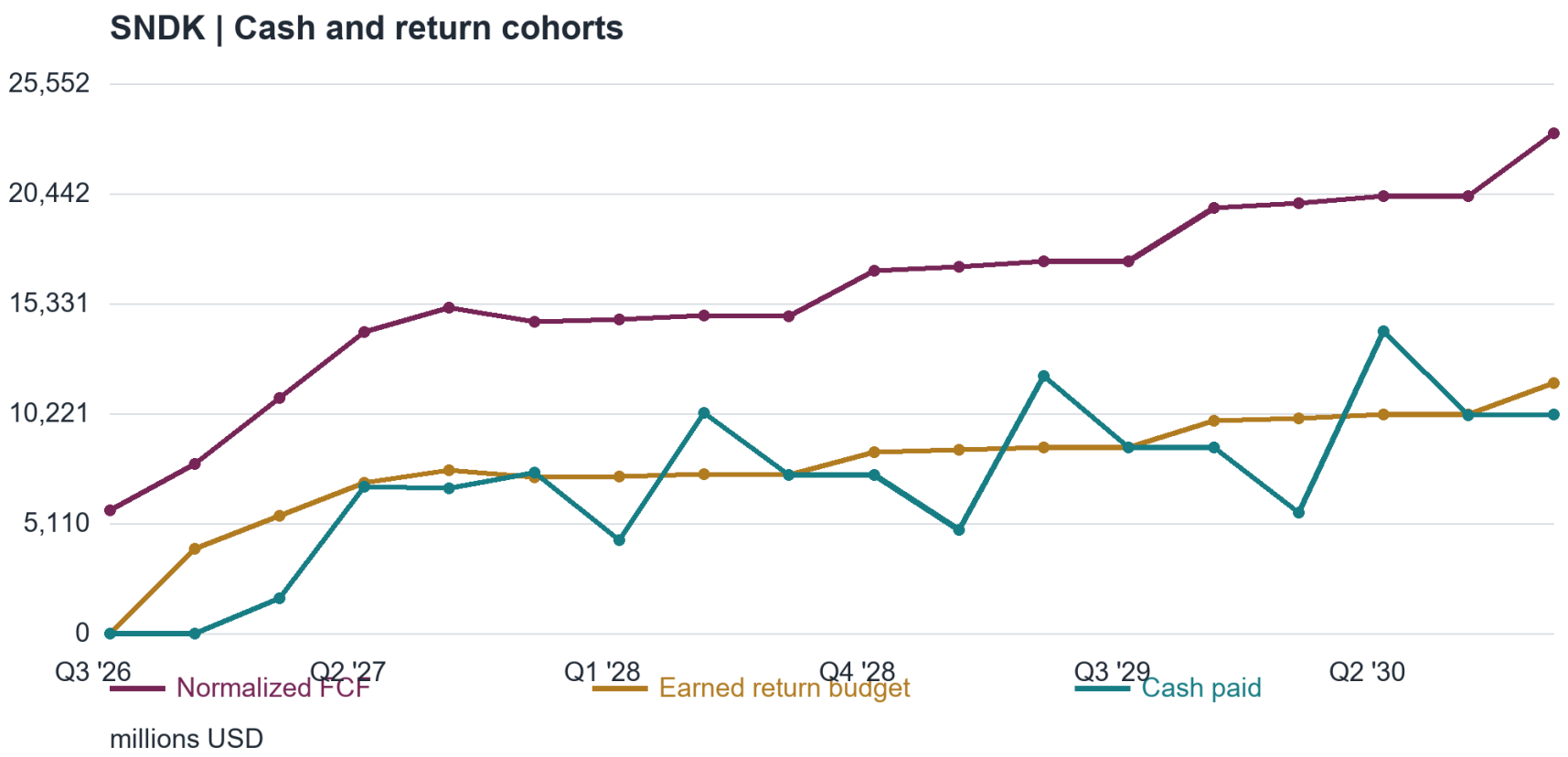
Q3 2026 in the cash table is a current reconstruction from dated cash sources. Its published forecast displays remain frozen.

Shareholder cash cohorts

Quarter	Dividend earned	Buyback earned	Dividend paid	Buyback cash	Other capital cash	Ending free cash
Q3 2026	0.000	0.000	0.000	0.000	0.000	7,987.150
Q4 2026	1,615.339	2,324.512	0.000	0.000	157.500	15,709.351
Q1 2027	2,238.514	3,221.276	0.000	1,627.158	157.500	24,844.274
Q2 2027	2,872.997	4,134.313	3,853.853	2,952.247	157.500	31,895.294
Q3 2027	3,099.496	4,460.250	2,872.997	3,860.402	157.500	40,123.887
Q4 2027	2,969.370	4,272.995	3,099.496	4,362.469	157.500	46,989.152
Q1 2028	2,989.657	4,302.189	0.000	4,329.172	157.500	57,086.172
Q2 2028	3,027.484	4,356.623	5,959.026	4,293.431	157.500	61,444.429
Q3 2028	3,019.454	4,345.068	3,027.484	4,340.293	157.500	68,648.197
Q4 2028	3,454.190	4,970.664	3,019.454	4,348.535	157.500	77,972.417
Q1 2029	3,491.725	5,024.677	0.000	4,782.985	157.500	90,064.736
Q2 2029	3,543.929	5,099.800	6,945.915	5,008.473	157.500	95,240.306
Q3 2029	3,540.774	5,095.260	3,543.929	5,077.264	157.500	103,733.680
Q4 2029	4,050.981	5,829.460	3,540.774	5,096.622	157.500	114,699.666
Q1 2030	4,098.515	5,897.863	0.000	5,609.200	157.500	128,925.722
Q2 2030	4,164.043	5,992.159	8,149.496	5,877.342	157.500	135,053.789
Q3 2030	4,161.709	5,988.800	4,164.043	5,963.870	157.500	145,069.394
Q4 2030	4,762.013	6,852.654	4,161.709	5,989.808	157.500	157,989.711

Economic shares and separate dividend income

Quarter	Opening shares	New grant shares	Expected retired	Valuation shares	Ending shares	Gross DPS paid
Q3 2026	155.000000	0.000000	0.000000	155.000000	155.000000	0.0000
Q4 2026	155.000000	0.089760	0.000000	155.044880	155.089760	0.0000
Q1 2027	155.089760	0.104890	0.000000	155.142205	155.194649	0.0000
Q2 2027	155.194649	0.105118	1.387401	154.553508	153.912366	25.0393
Q3 2027	153.912366	0.092531	1.747856	153.084703	152.257041	18.8694
Q4 2027	152.257041	0.085094	2.039334	151.279921	150.302801	20.6217
Q1 2028	150.302801	0.078479	2.000099	149.341990	148.381180	0.0000
Q2 2028	148.381180	0.072099	1.741935	147.546262	146.711344	40.6174
Q3 2028	146.711344	0.074163	1.594397	145.951227	145.191110	20.8517
Q4 2028	145.191110	0.068196	1.467791	144.491313	143.791515	20.9988
Q1 2029	143.791515	0.062923	1.330816	143.157569	142.523622	0.0000
Q2 2029	142.523622	0.057848	1.384023	141.860534	141.197447	49.1929
Q3 2029	141.197447	0.059489	1.271875	140.591254	139.985061	25.3165
Q4 2029	139.985061	0.054739	1.173537	139.425662	138.866263	25.4977
Q1 2030	138.866263	0.050541	1.065902	138.358582	137.850902	0.0000
Q2 2030	137.850902	0.046477	1.108630	137.319826	136.788749	59.5772
Q3 2030	136.788749	0.047801	1.019671	136.302814	135.816879	30.6592
Q4 2030	135.816879	0.044038	0.941794	135.368000	134.919122	30.8460



Cash generation and shareholder-return cohorts, 28 October 2026. Budgets are earned from positive normalized FCF; cash follows the disclosed forecast lags.

Capital-allocation sensitivities

Diagnostic	Q4 2027 price	Minimum modeled cash	Funding guard
no future returns	3,287.950	7,987.150	Pass
FCF only	4,504.338	7,987.150	Pass
all dividends	3,287.950	7,987.150	Pass
all buybacks	3,443.985	7,987.150	Pass
payout 100 pct	3,473.658	7,987.150	Pass
retirement zero	3,287.950	7,987.150	Pass
retirement full	3,388.595	7,987.150	Pass
execution half	3,463.422	7,987.150	Pass
execution double	3,337.221	7,987.150	Pass
capex double	3,369.605	7,393.761	Pass
NWC plus 25 pct	3,371.798	5,859.158	Pass
tax plus 10 pp	3,363.704	7,026.011	Pass
new dilution 1 pct annual	3,339.849	7,987.150	Pass
additional SBC cash reserve 25 pct	3,378.254	7,987.150	Pass
source prior tax liability cash settlement	3,378.254	7,987.150	Pass

The selected case remains positive in both cash and economic shares throughout the horizon. Sensitivities vary the stated cash or share assumption while preserving the operating case. The source-tax settlement and additional award-cash reserves reduce liquidity directly; their valuation effect depends on whether they constrain the funded programme. Actual tax settlement, future capex, funding terms, authorization renewals, award grants, execution prices and legal cancellation timing require future issuer evidence.

Cash-source record

- Sandisk fiscal Q4/FY2026 issuer release, August 5: https://www.sandisk.com/company/newsroom/press-releases/2026/2026-08-05-sandisk-reports-fiscal-fourth-quarter-2026-financial-results . Balance sheet, cash flow, awards withholding and authorization.
- Sandisk Investor Day CFO presentation, August 13: https://investor.sandisk.com/static-files/9023ed3e-9baf-44f1-944d-dbe81121ea31 . Adjusted FCF reconciliation, customer financing cash, capital intensity and capital allocation.

- Sandisk FY2026 Form 10-K, filed August 17: https://www.sec.gov/Archives/edgar/data/2023554/000162828026057406/sndk-20260703.htm . Operating leases, JV commitments and share awards.
- Kioxia June-quarter issuer filing, July 31: https://ssl4.eir-parts.net/doc/285A/tdnet/2859905/00.pdf . Local issuer English filing retained; printed 8-13 for financial position and cash flows.
- Kioxia FYendedMarch 2026 annual securities report: https://www.kioxia-holdings.com/content/dam/kioxia-hd/en-jp/ir/library/securities/asset/Annual-Securities-Report-FY2025-EN.pdf . Annual capex, commitments, debt and subsequent events.

Enterprise SSD: price the defined cohort once

TrendForce's 24 September public forecast puts **Q4 2026 enterprise-SSD contract prices up 23-28% QoQ**, while total NAND rises 15-20%. These are nested product-price forecasts. The complete paid table and the undated Morgan Stanley note behind the October 15 relay were not recovered. The independently readable category forecast supplies this operating signal; the relay is not a second economic event.

Only the existing floating-Datacenter proxy receives the extra state. It is calibrated to **55% of reported Q2 2026 Datacenter sales**, or **USD1,637.3M**. The other 45% NBM Datacenter proxy, Edge, Consumer and HBF retain their own paths. Actual customer-reset dates and grade/contract exposure are not disclosed, so this is an analytical cohort.

ASTRA assigns 40% to the defined company price-realization and nominal-level persistence outcome. The conditional Q4 increase is 25.5%, bounded by the sourced 23-28% range. Source specificity and top-tier weighting support an active contribution; uncertain contract eligibility, mix and costs constrain the weight. This is subjective model judgment.

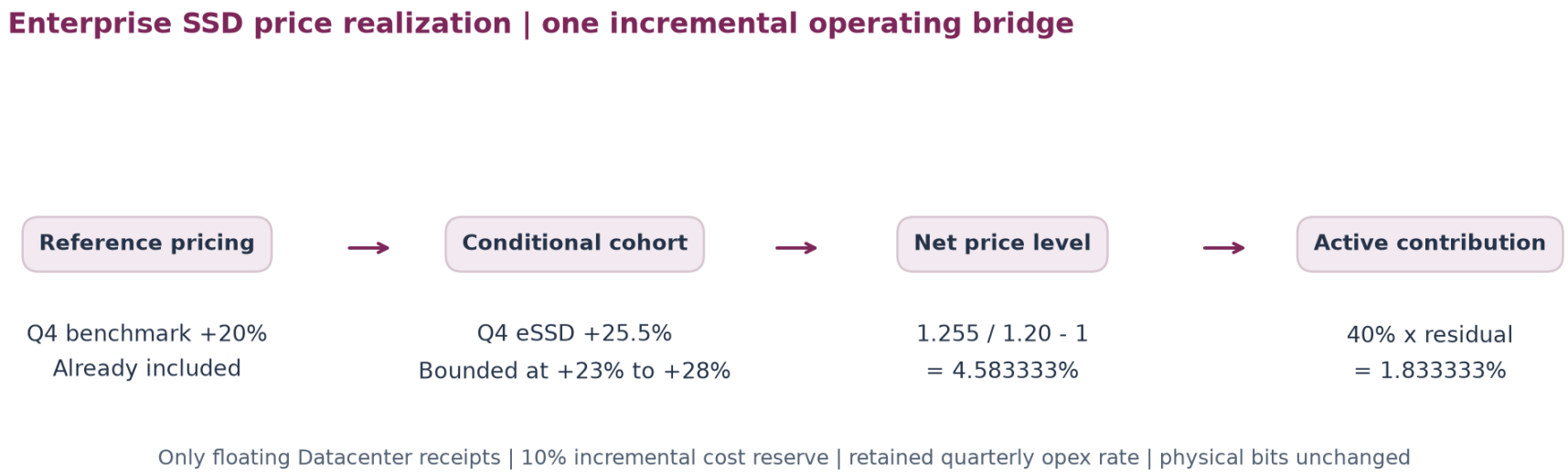


Figure 1. Analytical pricing diagram, ASTRA, 15 October 2026. Source forecast: TrendForce public text, 24 September 2026. This is a model diagram.

The model already includes +20% Q4 NAND pricing. Its conditional residual is **1.255 / 1.20 - 1 = 4.583333%**, and the active additional floating-Datacenter price level is **40% x 4.583333% = 1.833333%**. It is applied once from Q4 2026. Subsequent sequential price changes follow the existing path on that level; price persistence through 2030 is an explicit model assumption.

At unchanged physical bits, **10% of incremental receipts** is reserved for manufacturing/mix, controller, qualification, support and fulfillment uncertainty. Conditional incremental GP is 90% of extra receipts; incremental opex uses each quarter's retained opex rate. Active OP adds 40% of the conditional receipts times **(90% - quarterly opex rate)**. Neither the 40% price probability nor the separate 25% HBF execution probability is multiplied into the final ceiling again.

Current probability and overlap ledger

Parameter	Active treatment
Signal and source date	Q4 2026 enterprise-SSD contract-price forecast; TrendForce, 24 September 2026
Outcome probability	40%, subjective joint company realization and price-level persistence judgment
Source conditional range / selection	23-28% QoQ / 25.5% selected midpoint
Already modeled Q4 benchmark	20% QoQ; fully removed by the price-level ratio
Net conditional / active price level	4.583333% / 1.833333%, only floating Datacenter
Cohort and excluded pools	Existing 55% floating Datacenter proxy; NBM, Edge, Consumer and HBF excluded
Costs and opex	10% incremental receipt cost reserve; retained quarterly opex rate on extra receipts
Timing and dependence	Begins Q4 2026; later sequential trajectory retained
Sensitivity and next test	Matched customer resets, realized ASP, mix, qualification/support costs and Q1 2027 contracts

Quarterly company-specific economic bridge

USD millions. The conditional column is unweighted; all active receipt/cost/profit columns are already weighted once at 40%.

Quarter	Conditional extra receipts	Active extra receipts	Active extra cost	Active extra GP	Active extra opex	Active extra OP
Q3 2026	0.00	0.00	0.00	0.00	0.00	0.00
Q4 2026	152.85	61.14	6.11	55.03	3.06	51.97
Q1 2027	206.35	82.54	8.25	74.29	4.12	70.17
Q2 2027	233.67	93.47	9.35	84.12	4.65	79.47
Q3 2027	224.67	89.87	8.99	80.88	4.49	76.39

Quarter	Conditional extra receipts	Active extra receipts	Active extra cost	Active extra GP	Active extra opex	Active extra OP
Q4 2027	221.57	88.63	8.86	79.76	4.43	75.33
Q1 2028	218.91	87.56	8.76	78.81	4.38	74.43
Q2 2028	214.97	85.99	8.60	77.39	4.30	73.09
Q3 2028	236.68	94.67	9.47	85.21	4.72	80.48
Q4 2028	233.08	93.23	9.32	83.91	4.65	79.26
Q1 2029	230.98	92.39	9.24	83.15	4.60	78.55
Q2 2029	227.65	91.06	9.11	81.95	4.53	77.42
Q3 2029	252.67	101.07	10.11	90.96	5.02	85.94
Q4 2029	250.70	100.28	10.03	90.25	4.98	85.27
Q1 2030	250.15	100.06	10.01	90.05	4.96	85.09
Q2 2030	248.95	99.58	9.96	89.62	4.94	84.68
Q3 2030	276.38	110.55	11.06	99.50	5.47	94.02
Q4 2030	275.16	110.06	11.01	99.06	5.45	93.61

Active-window bridge

Active earnings window	Extra receipts	Extra cost	Extra GP	Extra opex	Extra OP
Q4 2027 through Q3 2028	356.853534	35.685353	321.168181	17.833209	303.334971

The active window contains **USD 303.334971M** of extra non-GAAP OP from this cohort after both cost allowances. The physical-bit schedule and the separate industry forecast of >80% eSSD bit-demand growth are not added again.

Operating sensitivities

Each case reruns its own FCF, buyback cohorts, dilution and share denominator at 6.75x forQ4 2027.

Operating case	Q4 2027 price USD	Economic shares M
baseline p 0	3,364.524	151.288685
active p 40	3,378.254	151.279921

Operating case	Q4 2027 price USD	Economic shares M
conditional p 100	3,398.851	151.266774
lower 23 pct p 40	3,372.013	151.283905
upper 28 pct p 40	3,384.495	151.275937
HBF reference without new price	3,370.619	151.288885
HBF reference with new price	3,384.349	151.280121

What changes this price state

Reduce or remove this same branch if matched customer resets return to the reference relative price level, if apparent price strength is noncomparable performance mix, if the floating-cohort exposure is disproven, or if incremental costs absorb the premium. Matched realized ASP, customer-reset terms and costs can support a higher weight. The next issuer earnings/reset disclosure and Q1 2027 contracts are the principal tests. Official confirmation is not a prerequisite for this bounded active model.

HBF: qualify the workload before counting the profit

The September 6 Hot Chips recap separates HBF bandwidth from usable system performance. A wide interface does not eliminate NAND write endurance, access granularity, cooling or controller work. That distinction matters because our reference model recognizes HBF sales from Q3 2027 at 85% product gross margin.

Sandisk's technology roadmap, page 20, places first HBF inference product samples in 2027. Samples are a qualification milestone; they do not establish accepted production units, customer pricing or an 85% margin. This makes the existing 2027 revenue ramp an analytical assumption.

A primary systems study, September 14 revision finds that dropping HBF into a write-heavy transient-KV offload design can degrade modeled service performance and endurance. A separate trace-driven simulation, October 5 revision shows that buffering and cache-aware placement can materially improve the result. Its modeled lifetime improvement from 1.21 to 14.82 years applies to that simulated configuration; it is not a measurement of a shipping Sandisk part. Together the studies support software and customer qualification work, while countering a categorical failure thesis.

One probability-weighted operating bridge

Assign a **25% subjective probability** to one combined execution state: the reference HBF shipment schedule moves one quarter later and its first four selling quarters carry **80% gross margin**, versus the existing 85%. Those four quarters are Q4 2027 through Q3 2028. Gross margin returns to 85% thereafter; the delayed volume schedule retains its one-quarter lag without an invented catch-up. The remaining 75% uses the reference HBF operating path. This is a bounded analyst assumption.

Expected HBF revenue equals 75% of the reference quarter plus 25% of the preceding reference quarter. Gross profit is weighted in dollars before deriving the effective margin. The 5-point conditional margin reduction represents additional early product/support cost; it is not another price haircut. Existing launch/support

opex dollars remain in place. This HBF state does not change established NAND bits or prices. The separately scoped enterprise-SSD price state described in the current probability ledger affects only the floating Datacenter cohort.

The HBF joint state reduces active F4Q operating profit by **USD 136.705331M** relative to the no-HBF-state control. Holding the enterprise-SSD price state fixed at 40%, F4Q OP is **USD 75,712.882687M**. The HBF probability is embedded in operating dollars once; it is not applied again to the ceiling or Base score.

This bridge captures qualification, timing and early cost as one correlated state. It does not add an HBF TAM, repeat existing SSD/KV demand, reduce broad NAND demand or transfer D-matrix's DRAM retention measurements to NAND. Existing model uncertainty remains large; the small total valuation effect reflects HBF's modest share of this particular profit build.

HBF joint-state probability	15 October 2026 valuation vintage USD	Interpretation; eSSD price probability held at 40%
0%	5,019.46	No HBF timing/cost-state control
25%	5,010.41	Active model
100%	4,983.27	Conditional HBF stress; diagnostic only

Qualification and cost gates

Customer samples progressing to accepted production, read/write workload mix, sustainable bandwidth, write budgeting, thermal operation, controller/software integration, good-unit yields, pricing and actual support cost are the next evidence gates. An optimized research prototype does not establish commercial economics. Revisit the same joint state when these inputs become measurable.

HBF revenue and initial-cost trajectory

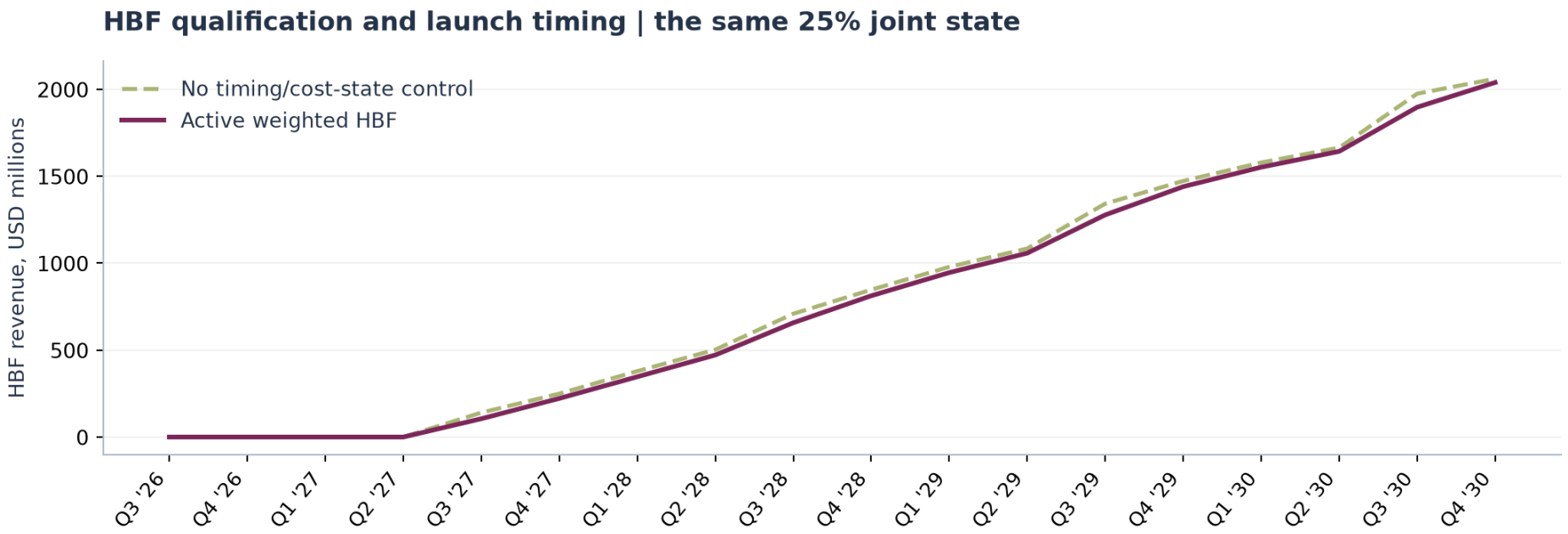


Figure 2. HBF revenue: active forecasts and an isolated no-timing/cost-state control. USD millions; ASTRA model, 15 October 2026. The eSSD price state is held fixed.

Quarter	HBF control revenue	Active HBF revenue	Active HBF GM
Q3 2026	0.00	0.00	85.0%
Q4 2026	0.00	0.00	85.0%
Q1 2027	0.00	0.00	85.0%
Q2 2027	0.00	0.00	85.0%
Q3 2027	140.39	105.29	85.0%
Q4 2027	249.41	222.16	84.2%
Q1 2028	379.02	346.62	84.1%
Q2 2028	502.62	471.72	84.0%
Q3 2028	708.91	657.34	84.0%

Quarter	HBF control revenue	Active HBF revenue	Active HBF GM
Q4 2028	847.20	812.63	85.0%
Q1 2029	978.79	945.89	85.0%
Q2 2029	1,084.23	1,057.87	85.0%
Q3 2029	1,342.28	1,277.76	85.0%
Q4 2029	1,472.99	1,440.31	85.0%
Q1 2030	1,578.88	1,552.41	85.0%
Q2 2030	1,664.50	1,643.10	85.0%
Q3 2030	1,975.00	1,897.38	85.0%
Q4 2030	2,061.09	2,039.57	85.0%

NAND demand and overlap treatment

Persistent-agent storage is real demand context; the 500-600EB add-on is unproven

The Sandisk slide gives a 1.2ZB AI-datacenter NAND shipment estimate for 2030: 1,200EB of annual shipments. Its workload split is 40% staging, 35% KV cache and 25% fast data lakes: 480/420/300EB. TLC/QLC is a separate technology split of 66%/34%; those are not additional end markets.

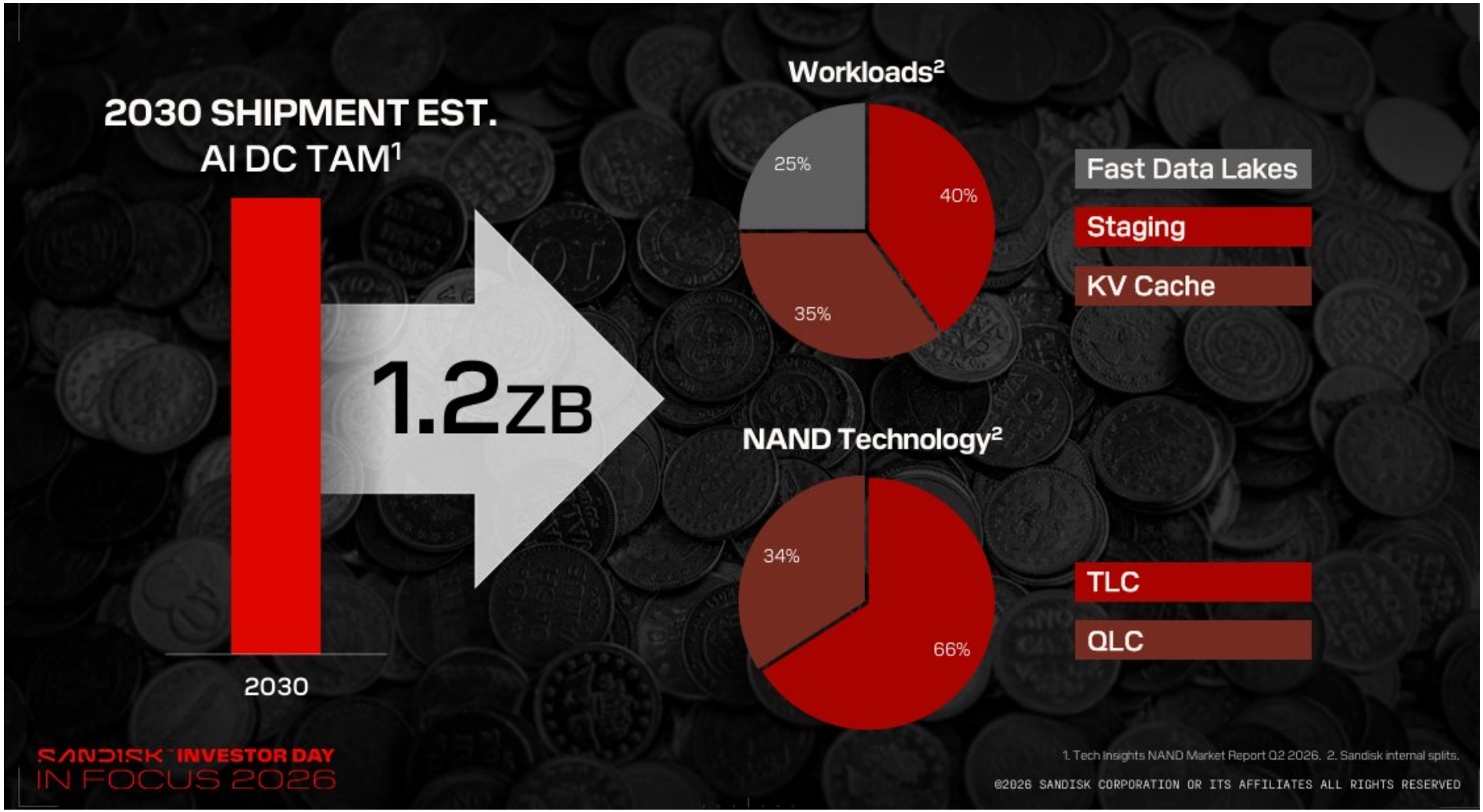


Figure 3. Sandisk Investor Day 2026 slide supplied by the user: 1.2ZB annual AI-datacenter shipments in 2030; workload and NAND-technology splits describe the same pool.

The August 13 issuer deck already discusses agentic AI, persistent KV cache and context. The claim that persistent agents were wholly excluded therefore does not support automatically adding Zephyr's speculative 500-600EB. Its annual-shipment versus installed-stock scope, retention period and overlap are unspecified. If it were fully incremental annual shipments, arithmetic would imply 1.7-1.8ZB, a 42-50% uplift; that is a conditional scope illustration.

Transmission into SanDisk requires bits, capture and realized price

Agent-hours, checkpoints, state retention, replication and retrieval can increase capacity and writes. Deduplication, compression, caching tiers and retention limits can reduce physical NAND needs. HBM/DRAM working state, SSD persistence and archival HDD bytes are separate wallets. Convert incremental usable storage stock into annual NAND shipments using new deployment, replacements, endurance, utilization and overhead; then apply qualified supplier share and product ASP. Do not translate a speculative EB figure straight into profit.

Artifact analytical Base 87; Excel Base 87. Persistent-storage demand remains within the existing 10/10 TAM score. The original operating NAND benchmark and product paths remain. The opening capital chapter supplies the current shareholder-return and valuation law.

Upgrade gates: customer storage build-outs with a defined period, eSSD qualification/capture, contracted versus floating bit mix, realized pricing, fab bit output/yield and incremental margin. The model could improve through higher shipped bits or firmer margins if those are quantified. Persistent-agent demand alone is not evidence for an additional shipment increment.

1. Thesis, products and competitive position

HELD. BOTTLENECK: NAND has become a capacity and persistence tier for AI inference. Long-term customer commitments improve visibility and support investment, while technology transitions and Kioxia joint manufacturing constrain the speed of supply response. Competition prevents permanent monopoly treatment.

NAND as an inference memory tier

The original thesis links NAND demand to the amount of data retained and retrieved during AI inference, including KV-cache offload, alongside conventional enterprise, edge and consumer storage. NAND, DRAM and HBM serve different latency, bandwidth, endurance and cost requirements. More inference activity can increase flash demand without making flash a universal substitute for HBM.

The five model vectors separate contracted and uncontracted data-center sales, Edge, Consumer and HBF. The data-center contract split is an analytical allocation: the disclosed New Business Model arrangements also cover Edge. It must not be read as a reported segment split or as proof that all Edge bits are sold at spot prices. Physical bit growth, product/node mix and realized ASP determine sales; a revenue growth target alone does not identify those components.

Contract quality and supply economics

The disclosed minimum contracted revenue and financial guarantees support visibility, but the detailed fixed-volume schedules, TLC/QLC specifications and uniform pricing collars in the original IR relay are not independently verified. Apply the specific disclosures and qualifications in the earnings section below. Do not infer identical terms across customers or across Samsung, SK hynix and Kioxia. Long duration can improve planning while leaving enforcement, mix, incremental volumes and technology execution material.

Kioxia and SanDisk share the Yokkaichi/Kitakami manufacturing ecosystem and BiCS technology development. Joint investment and wafer economics are therefore meaningful cross-checks, while each company's product mix, contracts, currency and share count remain separate. Process migration can increase bits per wafer; wafer starts, yield and bit output are not interchangeable measures.

HBF is modeled as an additional inference-oriented flash tier. Its timing and scale require shipment and qualification evidence; it is not a second entry for existing SSD sales or a claim on the entire HBM market. The model's long-term volume calibration and pricing persistence remain conditional.

Research provenance: the product and competitive analysis in this section synthesizes the supplied original research. Dated market-share, process and channel claims retain their original evidence status; this integration is not a new independent verification of those claims. Current earnings and model assumptions are set out below.

2. Earnings, guidance and operating assumptions

Earnings and guidance anchor

Fiscal Q4 FY2026 ended July 3 and is mapped to calendar Q2 2026. Revenue was $8,965M: Datacenter $2,977M, Edge $5,432M and Consumer $556M. The company reports non-GAAP operating income of $7,104M and opex of $484M, implying $7,588M gross profit. [SNDK-1]

Fiscal Q1 FY2027, mapped to calendar Q3 2026, guidance remains $10.3-10.8B revenue, 83-85% gross margin and $520-540M opex, with approximately 155M diluted shares. The active pricing case produces **$11,867.78M revenue, 86.0% GM and $595.76M opex**. It is above that guidance and is an analyst extrapolation from the subsequently supplied pricing forecast.

Forward growth and margin model

Active NAND pricing and source treatment

The active NAND benchmark is **calendar Q3 2026 +23%, Q4 2026 +20% and Q1 2027 +15% sequentially**. Q3/Q4 retain the upper bounds of the owner-supplied TrendForce ranges, ranked Tier 1 alongside Serenity. The added Q1 forecast comes from the owner-supplied Jeff Pu/Jukan summary citing TrendForce. The owner authorized this combined case on September 21. The quoted analyst path was +21%/+17%/+15%; the active case retains the owner's higher 2026 selections. [TF-1, JF-1]

The inherited benchmark ranges are Q3 +18-23% and Q4 +15-20%. The original owner-supplied table was not independently retrieved. TrendForce's September 24 public report landing and September 30 release independently corroborate the Q4 overall NAND range of +15-20%; they separately distinguish the higher +23-28% enterprise-SSD category. The selected rates are a user-authorized modeling input; the translation into this company's realized prices is analytical. Full benchmark transmission is assumed for modeled NAND product sales, including sales governed by customer agreements. That does not establish that every contract permits immediate repricing. The source rank does not convert undisclosed contract terms into verified facts.

With Q2 2026 indexed to 1.000, the broad reference NAND price indexes are **1.230 in Q3, 1.476 in Q4 and 1.6974 in Q1 2027**. The active floating-Datacenter indexes also include the separately weighted enterprise-SSD price state: **1.503060 in Q4 2026 and 1.728519 in Q1 2027**. The other established vectors retain the broad reference path. The broad Q1 reference level is 69.74% above Q2 2026; the active floating-Datacenter level is 72.8519% above that anchor. The +15% is applied once in Q1; it does not recur every quarter. Later forecasts retain their existing operating trajectory at this higher benchmark level. Persistence through 2030 is a modeling assumption.

Product production-cost schedules are retained at the existing shipment assumptions. Gross profit equals revised product revenue less those modeled costs; product gross margin is derived. The existing quarterly opex percentages apply to the reference revenue build. For the HBF timing state, the original HBF launch/support opex dollars remain in place; the model does not save those expenses merely because HBF shipments slip. Incremental selling-price gains therefore increase gross margin while also increasing dollar opex. Reference production costs remain unchanged at the retained physical bits. Only the extra floating-Datacenter price receipts carry a 10% incremental manufacturing/product-support reserve. No new cost savings or additional production capacity are

assumed. Share schedules and portfolio Base scores are retained. The separate owner valuation instruction changes the quarter-specific multiples as shown below.

Revenue, volume and subsequent pricing

Revenue for each established product vector equals its Q2 anchor revenue times its bit index times its ASP index. Anchor revenues are $1,339.7M for the modeled NBM datacenter portion, $1,637.3M for floating datacenter, $5,432M for Edge and $556M for Consumer. The two datacenter amounts are an analytical split of the disclosed $2,977M total.

The four established NAND vectors share reference ASP indexes of 1.230 in Q3 2026, 1.476 in Q4 and 1.6974 in Q1 2027. Only floating Datacenter includes the 40%-weighted residual enterprise-SSD price-level state from Q4 2026 onward. Q1 growth is exactly 15%, replacing the previous vector-specific increases of approximately 2.7-4.1%. From Q2 2027 onward, each vector retains its previously modeled sequential price changes. This avoids adding 15% on top of a quarter that already contained price growth. HBF retains its separate ASP; the expected ramp incorporates the joint timing/cost state described above. Broad benchmark transmission remains an explicit contract-realization assumption. The extra eSSD state is excluded from NBM Datacenter, Edge, Consumer and HBF; the floating cohort itself is an analytical proxy.

The existing physical-volume schedule is retained. Its long-term calibration originated from an 18% annual revenue-growth assumption within management's mid-to-high-teens Investor Day framework. The resulting volume calibration factors are fixed for this price update. They do not increase automatically when the pricing input rises, and they do not reduce volume to force revenue back to an old annual target. The 18% framework remains dated calibration context; current revenue follows the product forecast. [SNDK-3]

Management's approximate 80% gross margin, 75% operating margin and 5% opex framework remains a separate long-term reference. The active pricing case can exceed those margins and is not represented as management's updated financial outlook.

Contract interpretation and confidence

NBMs cover both Datacenter and Edge customers. Pricing contains fixed and variable terms, with guardrails on the variable part; the agreements provide minimum revenue and financial guarantees. Company-wide coverage of more than half of FY2027 bits and roughly two-thirds of FY2028 bits cannot be assigned exclusively to the Datacenter vector. [SNDK-2]

The two Datacenter rows are analytical contract/floating proxies, calibrated at a 45%/55% split of the reported Datacenter total. Edge includes NBM and floating sales; its single ASP and GM path are blended estimates. Product-level contract coverage, price floors and scheduled bits are not disclosed. The exact forecast indices therefore remain LOW confidence, even though the total next-quarter guide is HIGH-quality evidence. Treat supplier-specific contract terms separately when reviewing Samsung and SK hynix.

Unit economics and calibration limits

Product gross margin = 1 - modeled production cost / revised product revenue. Reference production cost equals the retained cost per bit-index unit times the retained bit index. Floating Datacenter additionally carries 10% of the incremental expected price receipts as cost. Cost per index unit is reconstructed from the preceding model's product revenue and product GM. These are analytical costs. Section 4 shows all current product revenues, derived gross margins, quarterly GP, opex and OP.

HBF retains its $520M modeling anchor, reference volume schedule and ASP index of 1. The active build weights the reference at 75% and the one-quarter delay/80% initial-margin state at 25%; timing and economics remain LOW confidence. The current NAND benchmark is not applied a second time to HBF. HBF was already included in the retained volume calibration, so it is not added again as incremental corporate growth.

Shares, capital returns and valuation

The current owner multiple and FCF-funded share law are derived in the opening chapter. The initial 155M economic-share proxy includes current awards; future grant dilution and funded retirements determine later denominators. Investor Day states a policy of returning excess cash after investment. The owner scenario selects the stated 50% positive-FCF payout and 41%/59% split. Remaining authorizationUSD15.5B is a source fact; additional future programme capacity is a modeling assumption. All ceilings show price value, with ordinary dividends reported separately.

3. Analytical score

The category arithmetic gives **52/60 = 87/100** after the existing -3-point risk deduction. The current Excel Base is **87/100**. Risk-class detail appears in section 7.

Category	Points	Max	Basis
Core thesis	19	20	NAND oligopoly with technology/JV control and customer-backed commitments; includes prepayment support within the category.
Cycle stage	10	10	Allocation and inference demand support the active ramp.
TAM expansion	10	10	Persistent KV cache, inference memory tiers and connected devices expand NAND use.
Catalysts	5	5	BiCS transitions, customer contracts and forthcoming earnings/technology milestones.
Macro	10	10	AI infrastructure demand supports constrained bit supply.
Alpha	1	5	Widely followed company; edge is careful reconciliation of disclosures.
Risks	-3	0	Three classes: industry supply/pricing response; technology/JV/HBF execution; contract concentration and enforcement.

4. Product economics and quarterly operating model

Forecasts distinguish reported anchors from guidance and analyst assumptions. The tables identify their product-GP, segment-OP or adjusted-profit basis. A reported GAAP decomposition requires issuer cost disclosures.

Vector evidence

Vector	Source / derivation	Confidence
Datacenter NBM proxy	Uploaded model assumptions, calibrated to sources and qualified in the operating assumptions	LOW forecast; actual anchors HIGH
Datacenter floating proxy	Uploaded model assumptions, calibrated to sources and qualified in the operating assumptions	LOW forecast; actual anchors HIGH
Edge mixed-contract	Uploaded model assumptions, calibrated to sources and qualified in the operating assumptions	LOW forecast; actual anchors HIGH
Consumer	Uploaded model assumptions, calibrated to sources and qualified in the operating assumptions	LOW forecast; actual anchors HIGH
HBF	Analyst $520M scaling anchor	LOW timing, customer capture and economics

Active ASP indexes

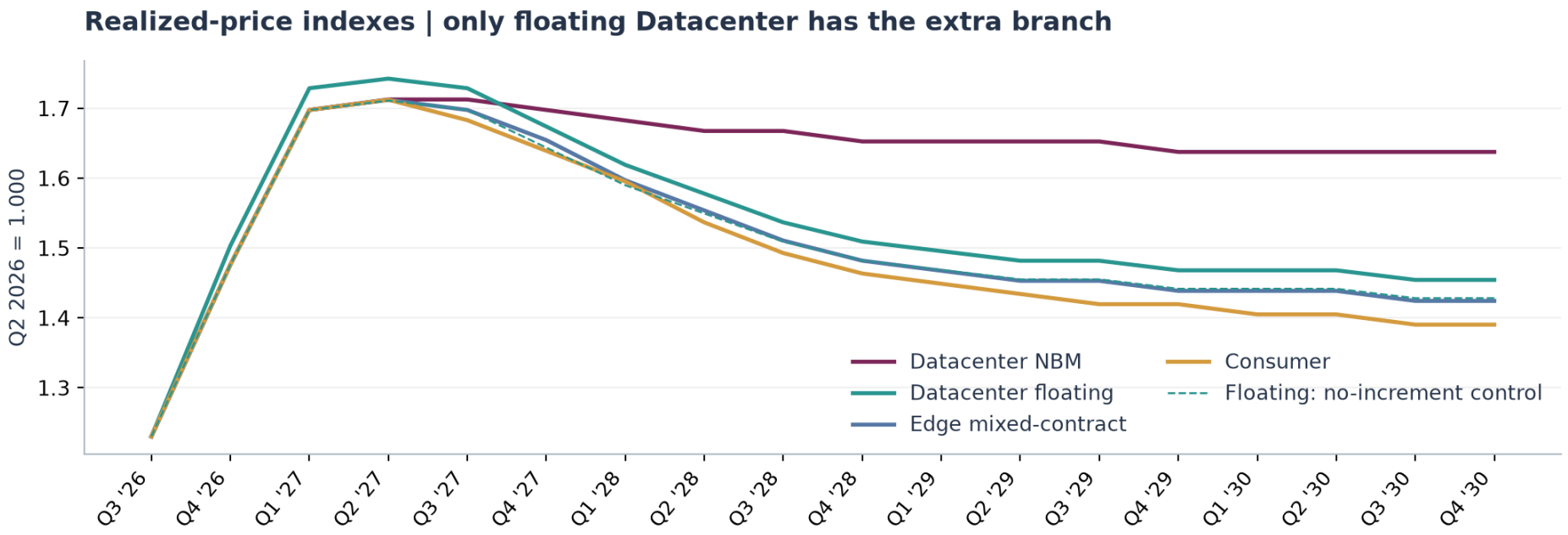


Figure 4. Active realized-price indexes by vector. Q2 2026 = 1.000; forecasts, ASTRA model, 15 October 2026. Only floating Datacenter receives the eSSD residual price state.

Q2 2026 = 1.000 for each vector. HBF ASP remains 1.000 throughout.

Quarter	Datacenter NBM proxy	Datacenter floating proxy	Edge mixed-contract	Consumer	Floating no-increment control
Q3 2026	1.230000	1.230000	1.230000	1.230000	1.230000
Q4 2026	1.476000	1.503060	1.476000	1.476000	1.476000
Q1 2027	1.697400	1.728519	1.697400	1.697400	1.697400
Q2 2027	1.712421	1.742237	1.711785	1.712033	1.710871
Q3 2027	1.712421	1.728519	1.697400	1.682767	1.697400
Q4 2027	1.697400	1.673645	1.654246	1.638869	1.643514
Q1 2028	1.682379	1.618772	1.596707	1.594971	1.589629
Q2 2028	1.667358	1.577617	1.553553	1.536440	1.549214
Q3 2028	1.667358	1.536461	1.510398	1.492541	1.508800
Q4 2028	1.652336	1.509025	1.481629	1.463276	1.481857
Q1 2029	1.652336	1.495306	1.467244	1.448643	1.468386
Q2 2029	1.652336	1.481588	1.452859	1.434010	1.454914
Q3 2029	1.652336	1.481588	1.452859	1.419378	1.454914
Q4 2029	1.637315	1.467869	1.438475	1.419378	1.441443
Q1 2030	1.637315	1.467869	1.438475	1.404745	1.441443
Q2 2030	1.637315	1.467869	1.438475	1.404745	1.441443
Q3 2030	1.637315	1.454151	1.424090	1.390112	1.427971
Q4 2030	1.637315	1.454151	1.424090	1.390112	1.427971

Active bit indexes

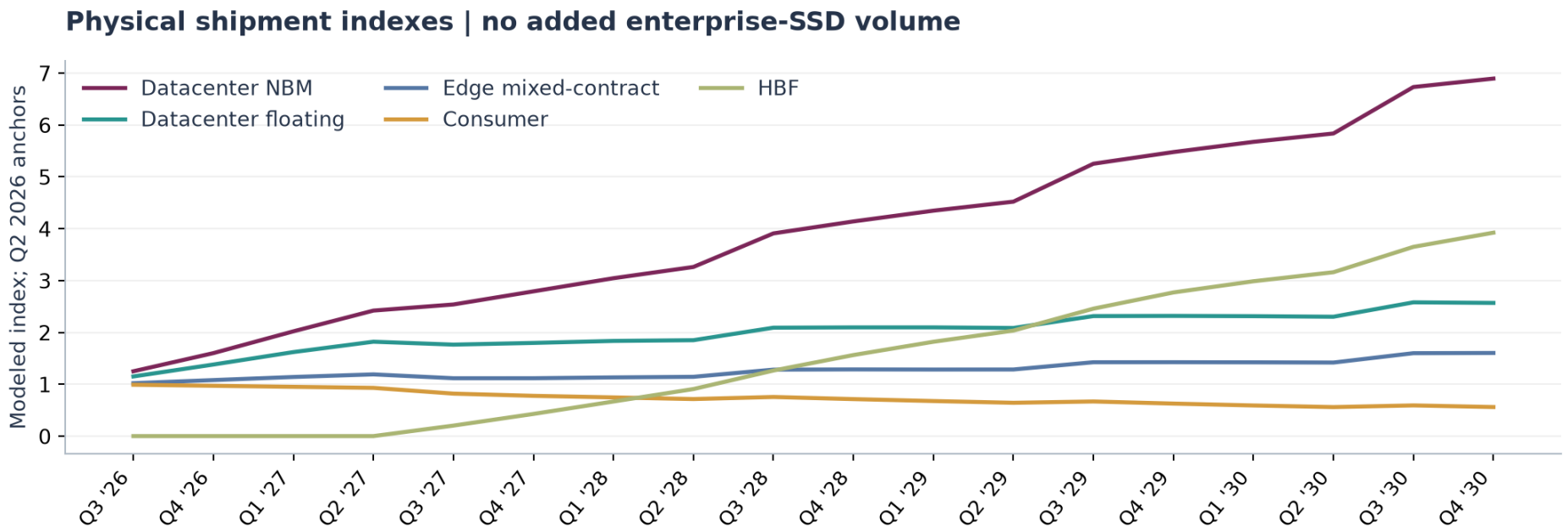


Figure 5. Physical shipment indexes retained. Model assumptions.

These are modeled shipment indexes. HBF shows the probability-weighted shipment index; the four other NAND volume paths are retained.

Quarter	Datacenter NBM proxy	Datacenter floating proxy	Edge mixed-contract	Consumer	HBF
Q3 2026	1.250000	1.150000	1.020000	0.990000	0.000000
Q4 2026	1.600000	1.380000	1.080000	0.970000	0.000000
Q1 2027	2.020000	1.620000	1.140000	0.950000	0.000000
Q2 2027	2.420000	1.820000	1.190000	0.930000	0.000000
Q3 2027	2.537759	1.763832	1.115894	0.818922	0.202481
Q4 2027	2.790652	1.796483	1.116261	0.776150	0.427226
Q1 2028	3.044194	1.835091	1.131926	0.746042	0.666579
Q2 2028	3.261168	1.849116	1.143090	0.714431	0.907160

Quarter	Datacenter NBM proxy	Datacenter floating proxy	Edge mixed-contract	Consumer	HBF
Q3 2028	3.908120	2.090390	1.281500	0.754358	1.264119
Q4 2028	4.139141	2.095990	1.285776	0.713341	1.562752
Q1 2029	4.346385	2.096190	1.283381	0.675914	1.819029
Q2 2029	4.520385	2.085049	1.284390	0.642195	2.034360
Q3 2029	5.251614	2.314271	1.424166	0.667578	2.457238
Q4 2029	5.476496	2.317639	1.424919	0.626621	2.769828
Q1 2030	5.673312	2.312582	1.422487	0.590623	2.985395
Q2 2030	5.834670	2.301453	1.418149	0.559156	3.159800
Q3 2030	6.730544	2.579158	1.598725	0.591793	3.648798
Q4 2030	6.893269	2.567743	1.602685	0.560078	3.922241

Product revenue build

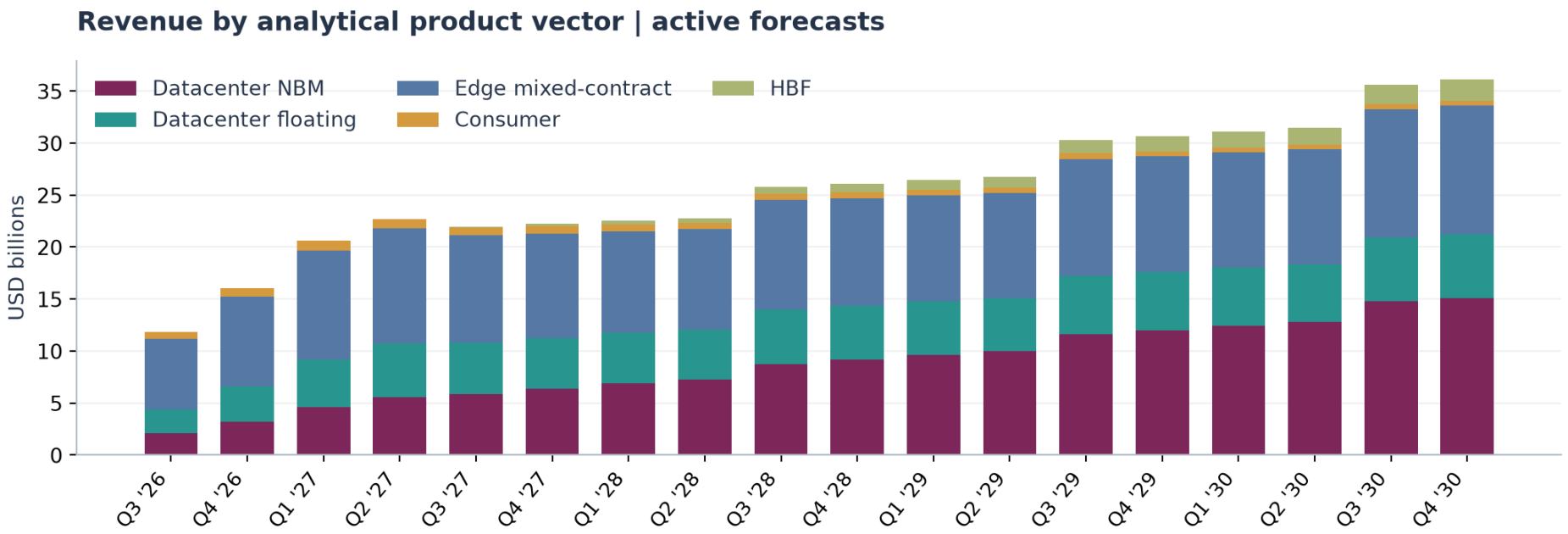


Figure 6. Active revenue mix. All five vectors sum to company sales; USD millions in the table, USD billions in the chart. Forecasts, 15 October 2026.

Quarter	Datacenter NBM proxy	Datacenter floating proxy	Edge mixed-contract	Consumer	HBF	Total
Q3 2026	2,059.79	2,315.96	6,814.99	677.04	0.00	11,867.78
Q4 2026	3,163.84	3,396.12	8,659.04	796.04	0.00	16,015.04
Q1 2027	4,593.49	4,584.77	10,511.12	896.57	0.00	20,585.94
Q2 2027	5,551.80	5,191.67	11,065.11	885.26	0.00	22,693.84
Q3 2027	5,821.95	4,991.83	10,288.85	766.20	105.29	21,974.12
Q4 2027	6,345.96	4,922.83	10,030.57	707.24	222.16	22,228.75
Q1 2028	6,861.26	4,863.75	9,817.54	661.59	346.62	22,550.77
Q2 2028	7,284.66	4,776.32	9,646.42	610.31	471.72	22,789.44
Q3 2028	8,729.80	5,258.69	10,514.04	626.01	657.34	25,785.88

Quarter	Datacenter NBM proxy	Datacenter floating proxy	Edge mixed-contract	Consumer	HBF	Total
Q4 2028	9,162.55	5,178.62	10,348.19	580.36	812.63	26,082.34
Q1 2029	9,621.31	5,132.03	10,228.64	544.41	945.89	26,472.28
Q2 2029	10,006.48	5,057.92	10,136.32	512.03	1,057.87	26,770.61
Q3 2029	11,625.16	5,613.97	11,239.42	526.84	1,277.76	30,283.15
Q4 2029	12,012.75	5,570.08	11,134.02	494.51	1,440.31	30,651.68
Q1 2030	12,444.47	5,557.93	11,115.02	461.30	1,552.41	31,131.12
Q2 2030	12,798.41	5,531.18	11,081.12	436.72	1,643.10	31,490.54
Q3 2030	14,763.52	6,140.67	12,367.19	457.40	1,897.38	35,626.15
Q4 2030	15,120.46	6,113.49	12,397.82	432.89	2,039.57	36,104.23

Product gross margins

Quarter	Datacenter NBM proxy	Datacenter floating proxy	Edge mixed-contract	Consumer	HBF
Q3 2026	84.8%	85.9%	86.5%	85.5%	85.0%
Q4 2026	87.2%	88.7%	89.0%	88.1%	85.0%
Q1 2027	88.7%	90.3%	90.3%	89.5%	85.0%
Q2 2027	88.5%	89.8%	89.4%	88.7%	85.0%
Q3 2027	87.5%	86.8%	86.9%	86.3%	85.0%
Q4 2027	87.1%	86.1%	86.4%	85.8%	84.2%
Q1 2028	86.8%	85.5%	86.1%	85.5%	84.1%
Q2 2028	86.7%	85.2%	86.0%	85.4%	84.0%
Q3 2028	86.6%	84.9%	85.9%	85.3%	84.0%
Q4 2028	86.5%	84.8%	85.8%	85.2%	85.0%
Q1 2029	86.5%	84.7%	85.7%	85.2%	85.0%
Q2 2029	86.4%	84.7%	85.7%	85.2%	85.0%
Q3 2029	86.4%	84.6%	85.7%	85.1%	85.0%
Q4 2029	86.4%	84.5%	85.7%	85.1%	85.0%
Q1 2030	86.4%	84.5%	85.6%	85.0%	85.0%
Q2 2030	86.4%	84.4%	85.6%	85.0%	85.0%
Q3 2030	86.3%	84.4%	85.6%	85.0%	85.0%
Q4 2030	86.3%	84.4%	85.5%	85.0%	85.0%

Quarterly operating model

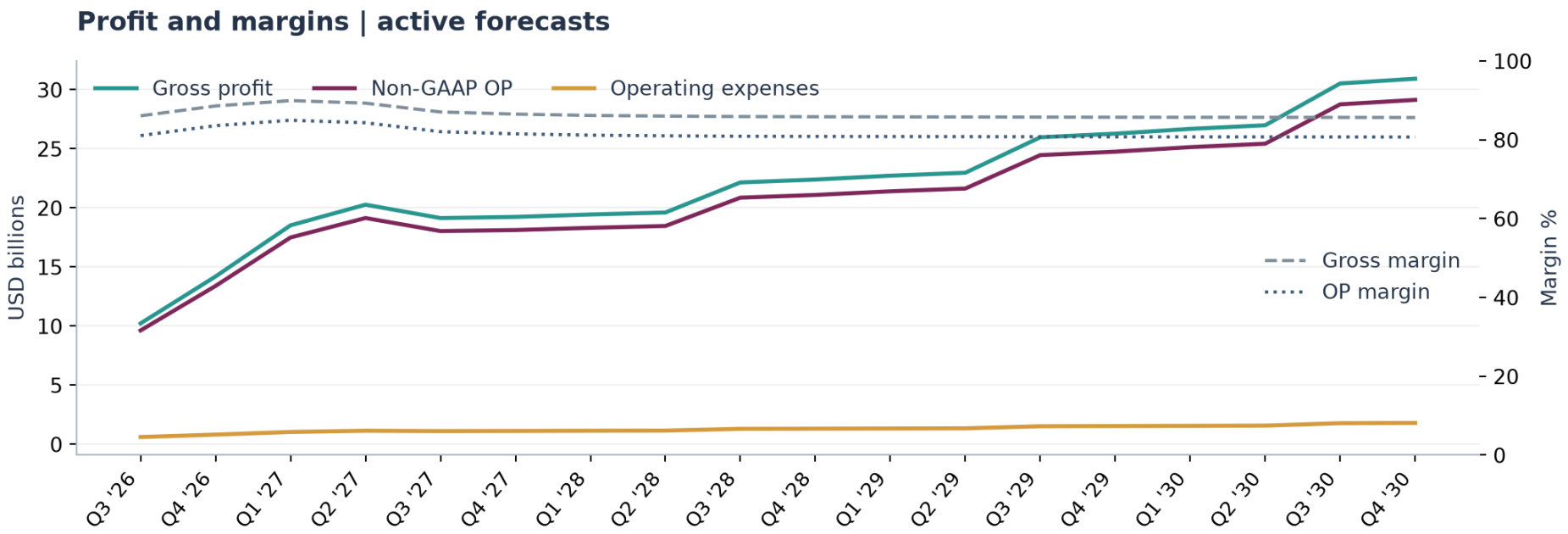


Figure 7. Gross profit less operating expenses equals non-GAAP operating profit. Chart USD billions; table USD millions. All rows are model forecasts, 15 October 2026.

Calendar quarter	Fiscal quarter	Revenue	Gross profit	GM	Opex	Non-GAAP OP	OP margin
Q3 2026	FQ1 FY2027	11,867.78	10,212.15	86.0%	595.76	9,616.39	81.0%
Q4 2026	FQ2 FY2027	16,015.04	14,181.33	88.6%	800.75	13,380.58	83.6%
Q1 2027	FQ3 FY2027	20,585.94	18,509.07	89.9%	1,027.24	17,481.83	84.9%
Q2 2027	FQ4 FY2027	22,693.84	20,256.88	89.3%	1,130.15	19,126.73	84.3%
Q3 2027	FQ1 FY2028	21,974.12	19,123.57	87.0%	1,100.46	18,023.11	82.0%
Q4 2027	FQ2 FY2028	22,228.75	19,223.34	86.5%	1,112.80	18,110.54	81.5%
Q1 2028	FQ3 FY2028	22,550.77	19,426.75	86.1%	1,129.16	18,297.59	81.1%
Q2 2028	FQ4 FY2028	22,789.44	19,595.22	86.0%	1,141.02	18,454.20	81.0%
Q3 2028	FQ1 FY2029	25,785.88	22,139.84	85.9%	1,289.29	20,850.55	80.9%

Calendar quarter	Fiscal quarter	Revenue	Gross profit	GM	Opex	Non-GAAP OP	OP margin
Q4 2028	FQ2 FY2029	26,082.34	22,382.03	85.8%	1,303.23	21,078.79	80.8%
Q1 2029	FQ3 FY2029	26,472.28	22,708.09	85.8%	1,319.96	21,388.14	80.8%
Q2 2029	FQ4 FY2029	26,770.61	22,956.50	85.8%	1,334.49	21,622.01	80.8%
Q3 2029	FQ1 FY2030	30,283.15	25,959.24	85.7%	1,508.28	24,450.97	80.7%
Q4 2029	FQ2 FY2030	30,651.68	26,265.38	85.7%	1,525.01	24,740.37	80.7%
Q1 2030	FQ3 FY2030	31,131.12	26,670.60	85.7%	1,545.42	25,125.18	80.7%
Q2 2030	FQ4 FY2030	31,490.54	26,976.77	85.7%	1,562.99	25,413.78	80.7%
Q3 2030	FQ1 FY2031	35,626.15	30,512.91	85.6%	1,767.34	28,745.57	80.7%
Q4 2030	FQ2 FY2031	36,104.23	30,911.14	85.6%	1,788.22	29,122.91	80.7%

Forecast confidence: LOW for company-specific pricing realization, product margins and the long-range operating path. The industry pricing input is Tier 1. Reporting anchors and company guidance retain their distinct source status.

Annual model cross-check

Calendar year	Revenue	Operating profit	OP margin
2027	87,482.66	72,742.20	83.2%
2028	97,208.42	78,681.13	80.9%
2029	114,177.73	92,201.48	80.8%
2030	134,352.04	108,407.44	80.7%

5. Forward four-quarter operating ceiling

Price = F4Q non-GAAP OP x quarter multiple x unit factor / average opening and ending economic shares. The unit factor is 1 for USD millions and shares millions. Published Q3 2026 keeps its original target and share basis. The final three windows are incomplete.

Quarter	F4Q OP	Multiple	Economic shares	Price ceiling
Q3 2026	59,605.525954	6.000x	155.000000	2,307.311
Q4 2026	68,012.243912	4.500x	155.044880	1,973.977

Quarter	F4Q OP	Multiple	Economic shares	Price ceiling
Q1 2027	72,742.203648	5.250x	155.142205	2,461.590
Q2 2027	73,557.964005	6.000x	154.553508	2,855.631
Q3 2027	72,885.439675	6.750x	153.084703	3,213.755
Q4 2027	75,712.882687	6.750x	151.279921	3,378.254
Q1 2028	78,681.133337	6.750x	149.341990	3,556.251
Q2 2028	81,771.681323	6.750x	147.546262	3,740.921
Q3 2028	84,939.494018	6.750x	145.951227	3,928.309
Q4 2028	88,539.909073	6.750x	144.491313	4,136.196
Q1 2029	92,201.481952	6.750x	143.157569	4,347.378
Q2 2029	95,938.526875	6.750x	141.860534	4,564.942
Q3 2029	99,730.288089	6.750x	140.591254	4,788.203
Q4 2029	104,024.896602	6.750x	139.425662	5,036.146
Q1 2030	108,407.444674	6.750x	138.358582	5,288.796
Q2 2030	Unavailable	6.750x	137.319826	Unavailable
Q3 2030	Unavailable	6.750x	136.302814	Unavailable
Q4 2030	Unavailable	6.750x	135.368000	Unavailable

Mechanical share sensitivity

Economic-share denominator	Price ceiling
Selected Q4 2027	3,378.254
5% more economic shares	3,217.385
10% more economic shares	3,071.140

This table holds operating profit and the multiple fixed while changing the economic-share denominator.

6. Industry relationships and read-throughs

TAM expansion and cross-book learning

Today NAND serves enterprise persistence, cache and consumer storage. Longer context and agentic workloads extend inference storage; HBF may enable a further bandwidth/capacity tier. Device AI and robotics could broaden demand, but their storage content and timing need separate sizing.

Kioxia is the closest production cross-watch; Samsung, SK hynix and Micron share pricing and supply telemetry. ALAB/MRVL sit in the memory-interconnect layer. Capacity-only agreements, price collars and non-cancellable product schedules are different commercial structures. The SanDisk disclosure establishes its own terms and must not be copied across the oligopoly without company evidence.

Kioxia disclosures can corroborate shared manufacturing capacity, but not SanDisk customer pricing. ALAB/CXL and MRVL interconnect developments help test the memory-tier architecture. For Longsys and Penguin, higher memory prices are input costs as well as potential inventory gains; their margins cannot be copied from a NAND producer.

7. Risks and falsification tests

The following ledger makes the existing aggregate risk deduction explicit. It does not introduce another deduction or change the analytical score.

Risk class	Existing deduction
Industry supply, bit growth and pricing response	-1
Technology, joint-venture and HBF execution	-1
Contract concentration, enforcement and commercial terms	-1
Total	**-3**

Risks and falsification tests

1. Supply/pricing: compare competitive wafer/node additions with customer bit demand. Sustained pricing declines or loss of allocation change the ASP path directly.
2. Technology/JV execution: monitor BiCS qualification and HBF production disclosure. The active HBF state already weights a one-quarter delay and first-four-quarter cost penalty. Evidence of a longer delay, failed qualification or a revised customer mix would change that same state.
3. Customer contracts: monitor default, renegotiation and guarantee enforcement. Floor revenue is not equivalent to risk-free cash collection.

Next-quarter results must reconcile actual revenue, GM, opex and diluted shares with the active pricing case. September 8-9 conference commentary was not incorporated in the retained company-research baseline. Capital-return assumptions remain conditional. Contract repricing and the persistence of the higher Q1 2027 price level are additional forecast tests within the existing risk classes.

Numbered monitoring tests

#	Checkpoint	Evidence supporting the operating case	Counter-test / failure signal
1	Bits versus ASP	Reconcile reported growth separately to bits, mix and realized pricing.	Price-led revenue growth does not validate the assumed physical volume ramp.
2	Contract coverage	Track new customer agreements, guarantees and disclosed coverage by business.	Renegotiation, impairment or narrow product coverage weakens the stability thesis.
3	HBF commercialization	Require dated qualification and commercial shipments.	A development milestone without accepted sales does not validate forecast revenue.
4	Profit and capital return	Reconcile GM, opex and diluted shares against the operating and share paths.	Margin slippage or slower repurchases changes the relevant inputs; authorization alone does not retire shares.

8. Sources, evidence gaps and model snapshot

- **TF-1** · Supplied September 20, 2026 · TrendForce NAND pricing update supplied in this conversation: Q3 2026 +18-23%; Q4 +15-20%. The owner selected +23% and +20% and ranked TrendForce Tier 1 alongside Serenity. The inherited owner-supplied table was not independently retrieved. The later public TrendForce landing/release corroborate overall Q4 pricing and identify eSSD separately; neither discloses company-specific realization or post-2026 price persistence.

Sources below are those documented in the retained company research and this pricing update. LOW-confidence product allocations, future margins, capacity bridges and incomplete management-call records remain unresolved where stated. Integrating the original research does not itself establish complete verification of the inherited operating assumptions.

- **SNDK-1** · 2026-08-05 · Fiscal Q4 2026 company results. Actuals, next-quarter guidance and remaining buyback authorization.
- **SNDK-2** · 2026-08-05 call; transcript Aug 12 · Fiscal Q4 management transcript. Management speech only; contracts span Datacenter and Edge.
- **SNDK-3** · 2026-08-13 · Investor Day company release. FY2028-30 growth/margin framework and capital returns.
- **SNDK-4** · 2026-08-13 · Investor Day CFO presentation. Contract mechanics and sustainable financial model; company document accessed via event page.
- **SNDK-5** · 2026-09-01 · Uploaded artifact and five-vector workbook - User upload: PORTFOLIO_HANDOFF_2026-09-01(1).zip; v 3_2_master_portfolio(1).xlsx. Inherited bit/ASP/margin mix and HBF assumptions. August 19 IR relay is inherited.

The unchanged original source document is retained separately for full research provenance. It is an archive. Superseded score/ceiling tables are not incorporated into this active artifact.

- **JF-1** - Supplied September 21, 2026: Jeff Pu (@sssjeffpu) and Jukan (@jukan 05), "NAND Pricing Breakout Driven by eSSD" summary in the owner's conversation. Quoted Q3 2026 / Q4 2026 / Q1 2027 blended NAND changes: +21% / +17% / +15%, citing TrendForce demand research. The retained Q1 input is +15%; the owner's selected 2026 inputs are +23% and +20%. This is an owner-authorized combined case. The original analyst note and exact TrendForce table were not independently retrieved. Enterprise demand commentary is contextual and adds no shipment volume to this update.
- **TF-eSSD** - 24 September 2026 - TrendForce: 4Q26 Memory Price Forecast, public English landing and Mandarin landing. Public text specifies enterprise-SSD contract prices +23-28% QoQ and total NAND +15-20% QoQ. The full paid report and pricing table were not accessed. Its public image is a locked-report placeholder and is not used as numerical evidence.
- **TF-Q4** - 30 September 2026 - TrendForce contract-price release. Overall NAND +15-20% QoQ; enterprise-SSD price growth accelerates. The separate >80% 2026 industry enterprise-SSD bit-demand forecast is not added to company shipments.

Current model snapshot: 28 October 2026, Framework 8.0. Eighteen operating quarters and fifteen complete valuation windows. ActiveQ4 2027 price ceiling USD3,378.253741 uses 6.75x F4Q non-GAAP OP and 151.279920735M economic shares. The opening chapter contains the complete cash/share law and separate ordinary-dividend income. Operating probabilities, revenue, cost, OP and protected Base remain. Q3 2026 published history is preserved.

16 October 2026: NAND pricing risk assessment - evidence only

16 October 2026 valuation vintage: Q4 2027 targetUSD5,010; Excel Base 87 and analytical Base 87. This dated risk assessment preceded the 28October capital-return and multiple update. The opening chapter gives the current price ceiling.

Decision

Completed source-risk assessment with an external watch. Financial inputs and targets are unchanged.

New counter-evidence

The dated 9 October bank report raises its earlier NAND forecast but retains a slower later price path, including about a 13% decline in blended industry selling prices in 2028. Its prior upgrade is not extra growth above our higher existing price case. Consumer weakness and strong enterprise demand have different product and contract scopes.

ASTRA screening judgment

Use a 30% subjective normalization-risk screening weight with a conditional 5-15% manufacturer realized-price shortfall below the current company path, midpoint 10%, starting only in calendar 2028.

Economic bridge

Eligible future NAND receipts times the residual realized-price shortfall determines lost revenue. Hold accepted bits, manufacturing costs and dollar operating expenses unchanged in the conservative bound. Do not expense cash capex again or add a second scarcity, volume or probability factor.

Contract eligibility

The issuer's August Investor Day describes fixed and variable price terms with floors and ceilings. About two-thirds of FY2028 bits are under NBMs across Datacenter and Edge. These are bits. No published table gives the variable share, price above floor, or calendar-quarter receipt weights. FY2028 coverage does not establish the same fraction in FY2029.

Issuer contract evidence: Issuer CFO presentation, 13 August 2026, pages 4-12; official PDF text verified. Original local byte download was unavailable.

Original bank evidence

	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
NAND (256Gb equiv)																
Sales (US$bn)																
New	48.4	85.7	111.5	121.5	121.8	121.7	126.0	128.3	73.3	67.3	42.4	78.1	81.0	367.2	497.8	513.3
Old	48.4	85.7	106.9	116.5	116.7	116.6	120.7	123.0	73.3	67.3	42.4	78.1	81.0	357.5	477.0	491.9
Diff	nm	nm	4.3%	4.3%	4.3%	4.3%	4.3%	4.3%	nm	nm	nm	nm	nm	2.7%	4.3%	4.3%
Shipments (bn units)																
New	9.0	9.6	10.4	11.0	11.0	11.4	12.4	13.0	21.3	22.6	26.6	29.5	33.2	40.0	47.7	56.3
Old	9.0	9.6	10.4	11.0	11.0	11.4	12.4	13.0	21.3	22.6	26.6	29.5	33.2	40.0	47.7	56.3
Diff	nm	nm	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	nm	nm	nm	nm	nm	0.0%	0.0%	0.0%
Bit growth - sequential																
New	-2.2%	6.3%	8.4%	5.8%	0.1%	3.1%	9.0%	5.0%	37.8%	6.1%	17.6%	11.2%	12.5%	20.4%	19.3%	18.0%
Old	-2.2%	6.3%	8.4%	5.8%	0.1%	3.1%	9.0%	5.0%	37.8%	6.1%	17.6%	11.2%	12.5%	20.4%	19.3%	18.0%
Diff	nm	nm	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	nm	nm	nm	nm	nm	0.0%	0.0%	0.0%
ASP chg - sequential																
New	86.6%	66.8%	20.0%	3.0%	0.1%	-3.1%	-5.0%	-3.0%	-9.1%	-13.5%	-46.4%	65.5%	-7.8%	276.5%	13.6%	-12.6%
Old	86.6%	66.8%	15.0%	3.0%	0.1%	-3.1%	-5.0%	-3.0%	-9.1%	-13.5%	-46.4%	65.5%	-7.8%	266.5%	11.9%	-12.6%
Diff	nm	nm	5.0%	0.0%	0.0%	0.0%	0.0%	0.0%	nm	nm	nm	nm	nm	10.0%	1.8%	0.0%
Blended ASP (US$)																
New	5.4	8.9	10.7	11.1	11.1	10.7	10.2	9.9	3.4	3.0	1.6	2.6	2.4	9.2	10.4	9.1
Old	5.4	8.9	10.3	10.6	10.6	10.3	9.8	9.5	3.4	3.0	1.6	2.6	2.4	8.9	10.0	8.7
Diff	nm	nm	4.3%	4.3%	4.3%	4.3%	4.3%	4.3%	nm	nm	nm	nm	nm	2.7%	4.3%	4.3%

Source: BofA Global Research estimates, industry data. Chg = change. Equiv = equivalent

BofA original page 4 column-header and NAND detail crops; original source numbers and units preserved.

Global memory tech - October 9, 2026.pdf, BofA Global Research, report 13026015, page 4. Headings and NAND rows are separate original-pixel detail crops. Industry selling price per 256Gb equivalent is not a matched company contract price.

Screening disposition and overlap

A narrow non-NBM proxy uses about one-third of bits, with an explicit equal-price assumption to estimate receipts. At the midpoint price stress and the screening weight, its effect stays below 2% in the examined windows. It is queued. Unequal product prices, variable NBMs and floor headroom can produce a larger result.

Current prices already include later vector erosion and the weighted floating-Datacenter premium. Treat a new price shortfall as a residual against those current prices; do not remove the same premium twice. The HBF timing/cost state covers a different execution risk.

The wider upper endpoint can reduce full calendar-2028 forward profit by about 5% at the screening weight.

Exact internal conditional bounds are retained in SNDK_SanDisk_DeepDive_Pricing_Risk_Assessment_2026-10-16.json. They are unimplemented diagnostics.

Precise follow-up: receipt weighting; fixed/variable price fraction; forecast price above floor; calendar-quarter coverage and reset dates; matched manufacturer product/grade/customer cohort. The source-risk review is complete with these external watch tasks. This does not mean every risk is applied, that broad exposure is proven immaterial, or that a required financial model change is blocked.